

CIPHER PHARMACEUTICALS INC CPH.

September 21, 2026 - 6:51pm EST

by	Fenkell			
			2026	2027
Price:	14.42	EPS	0	0
Shares Out. (in M):	26	P/E	0	0
Market Cap (in \$M):	373	P/FCF	0	0
Net Debt (in \$M):	-9	EBIT	0	0
TEV (in \$M):	364	TEV/EBIT	0	0

Description

Cipher Pharmaceuticals (CPH-T)

CPH is a dermatology focused specialty pharmaceutical company with 2 key product suites, acne drug Epuris in Canada and Natroba in the US. As CPH has been written up twice already, I will keep things brief.

CPH historically was poorly regarded as previous management teams made poor acquisitions leading to significant value destruction. However, chairman Craig Mull eventually fired the management team and become CEO himself and demonstrated superb capital allocation skills by improving operations, buying back shares when CPH was significantly undervalued and made a very accretive acquisition, all the while taking \$0 in salary as a 40%+ shareholder.

Investment thesis summary:

1. Natroba revenues unexpectedly dropped 19% yr/yr in 2Q26, leading CPH shares to drop ~20% after quarterly earnings release. The decline was driven by lower Medicaid program enrollment associated with OBBBA and COVID temporarily keeping enrolment higher than it would otherwise.
2. As market sentiment soured, I believe the market is now pricing limited growth for both Epuris and Natroba and either or both outperforming should generate outsized returns.
3. Further, the market is still underappreciating Craig Mull as CEO. We see that CPH is already beginning to buy back shares and likely suggested to the Street that a substantial issuer bid could be in the works.
4. We think the market is not paying attention as Epuris was recently approved for public reimbursement in the Canadian provinces British Columbia and Quebec and yet the stock did not react. Market share and revenue growth should reaccelerate from here.
5. Given the Natroba acquisition and management's messaging, there is free but quantifiable upside to another accretive acquisition.

With AI, one can easily collect facts and do financial analysis. So I will focus on what I think the market is missing based on our analysis and primary research.

2Q26 Results

As mentioned, the biggest miss was the -19% yr/yr decline in Natroba revenues due to Medicaid coverage – likely exacerbated by a steeper decline in enrolment in key states such as Texas. Although hard to precisely quantify, I believe the following factors will allow Natroba revenues to cover 12-18 months out:

1. We estimate the US antiparasitic market to be ~\$170 mln, split between scabies (\$110 mln) and head lice (\$60 mln). The overall market likely grows in LSD and CPH can take market share against inferior products like Permethrin.
2. CPH is pursuing offset in terms of partnering with Walmart and pivoting to Commercial coverage. Rough checks indicate Medicaid coverage for Natroba ~ \$125 per bottle vs commercial (net) at \$200. So depending on a number of variables there should be a price uplift component that offsets volumes as well

Epuris Market Share

With slight sequential declines in Epuris market share in Canada (to 47% in 2Q26), I think the market is not assuming much market share growth in Epuris going forward (if at all) despite it being a superior treatment compared to Accutane. More importantly, in Canada, there are certain provinces that do not provide public reimbursement for Epuris and CPH has been working on getting coverage. After the 2Q26 call, CPH actually got on the BC formulary (<https://pharmacareformularysearch.gov.bc.ca/Search.xhtml>) on August 17, 2026 and the market did not react at all:

PharmaCare Formulary Product Detail

Generic Name: ISOTRETINOIN

Brand Name: Epuris

Dosage Form: 30 MG CAPSULE

DIN/PIN: 02397005

AHFS High Level Classification: Skin And Mucous Membrane Agents

AHFS Therapeutic Classification: Keratolytic Agents

ATC Classification: Isotretinoin

Manufacturer: CIPHER PHARMAC

Formulary Listing Date: 17-Aug-2026

This product is covered under these PharmaCare Plans only.

Plan	PharmaCare Plan	Maximum PharmaCare Covers	Unit	RDP	Max Day Supply per Fill
C	Income Assistance	2.9272	Each	No	35
B	Licensed Residential Care Facilities	2.9272	Each	No	35
F	At Home Program	2.9272	Each	No	35

Similarly, for the Quebec province, when their list was updated August 27, 2026, CPH's Epuris is now covered (<https://www.ramq.gouv.qc.ca/en/citizens/prescription-drug-insurance/find-out-whether-a-drug-covered?m=epuris>)

1 result found.

[Example of search result explained](#)

Epuris

 **Covered**
Active ingredient(s): [ISOTRETINOIN](#)**Manufactured by:** Cipher Pharmaceuticals Inc. (Cipher)**Strength and dosage form:** Capsule 10 mg [DIN : 2396971](#)Capsule 20 mg [DIN : 2396998](#)Capsule 30 mg [DIN : 2397005](#)Capsule 40 mg [DIN : 2397013](#)

Again, virtually no stock price reaction but we think these two provinces serve as a catalyst for CPH's Epuris to continue increasing market share, possibly to the 55-65% range longer-term (management has suggested 70% as being possible). With the potential of adding \$6 mln + in EBITDA, that could potentially add \$50-\$100 mln incremental market cap several years out.

Strong Capital Allocation and Alignment

As background, I still believe the market is underappreciating having Craig Mull as CEO and his strong capital allocation skills and interest alignment. For starters, since revamping the management team, he took \$0 Salary and aggressively bought back shares when CPH was severely undervalued, executing both NCIBs and a Substantial Issuer Bid (SIB). I visited their offices a few years back and was surprised to see they reduced their office footprint and took an off to the side office space out of the elevator instead of the central office space on that floor. I asked Craig this and he responded by saying they don't need it and they are better off subleasing the nicer space.

The following table presents the compensation earned by the Named Executive Officers for the financial years ended December 31, 2025, December 31, 2024 and December 31, 2023.

Name and Principal Position	Year	Salary (\$)	Share-based Awards (\$) ⁽⁴⁾⁽⁸⁾	Option-based Awards (\$) ⁽⁵⁾⁽⁹⁾	Non-Equity Incentive Plan Compensation (\$)		Pension Value (\$)	All Other Compensation (\$) ⁽⁷⁾	Total Compensation (\$)
					Annual Incentive Plans ⁽⁶⁾⁽¹⁰⁾	Long-term Incentive Plans			
Craig Mull, Interim Chief Executive Officer	2025	Nil	64,525	833,630	Nil	Nil	Nil	150,000	1,048,155
	2024	Nil	Nil	1,038,847	350,000	Nil	Nil	150,000	1,538,847
	2023	Nil	912,388	358,550	Nil	Nil	Nil	114,583	1,385,521

I think this will likely repeat after 2Q26 results as CPH has began executing its NCIB and a SIB is likely coming. Although I don't read minds, either the sell-side independently gained conviction on an NCIB + SIB potential or management provided them with such a signal/possibility. It was interesting to see Stifel mention this immediately after 2Q26 results:

STIFEL

Cipher Pharmaceuticals Inc.

CPH-TSX

August 12, 2026

Canada - Healthcare

BUY ANALYSIS OF SALES/EARNINGS

Financial Summary

Changes	Previous	Current
Rating	—	Buy
Target Price	C\$22.00	C\$20.00
FY25A Revenue	—	\$50.5
FY26E Revenue	\$54.3	\$50.5
FY25A EBITDA	—	\$28.1
FY26E EBITDA	\$29.4	\$29.0
Price (08/12/26):		C\$14.58
52 Week Range:	C\$20.55 - C\$13.48	

Q2: Unexpected bump in the road as 'dry powder' builds for share buy-backs/ M&A

Summary

CPH's Q2/26 missed with Medicaid headwinds for covered lives (not reimbursement levels), impacted Natroba sales (down 19%), offset partially with Canada Epuris, +14%. Consolidated revenue US\$12.1mm was 13.6% below \$14.0mm estimated with EBITDA miss, not as pronounced, 6.8% below our \$7.3mm forecast. FCF \$2.8mm with cash balance build, US\$6mm to US\$9.1mm and no debt (US\$99mm of liquidity). Management noted it recently walked away from a sizable advanced-stage acquisition opportunity, citing 'unsuitability'. Our thesis continues to be focused on M&A to leverage the high +55% EBITDA margin platform in-place and large US\$125mm tax loss balance to utilize, suggestive of pent-up FCF accretion. We did not anticipate Natroba headwinds but see such as manageable with a healthier Q3 as a national stocking program with Walmart commences. We also anticipate Cipher to be active with an NCIB and possible SIB as our TP adjusts to certain headwinds but with implied substantial upside.

This is purely conjecture but it is very interesting for CPH to begin buying back shares shortly after Quebec included Epuris in its published coverage list dated August 27, 2026:

Amended Filing

As of 11:59pm ET September 17th, 2026

Filing Date	Transaction Date	Insider Name	Ownership Type	Securities	Nature of transaction	Volume or Value	Price
Sep 2/26	Sep 2/26	Cipher Pharmaceuticals Inc.	Direct Ownership	Common Shares	38 - Redemption, retraction, cancellation, repurchase	-4,000	\$14.22
Sep 2/26	Aug 31/26	Cipher Pharmaceuticals Inc.	Direct Ownership	Common Shares	38 - Redemption, retraction, cancellation, repurchase	-66,815	\$14.22
Sep 2/26	Aug 31/26	Cipher Pharmaceuticals Inc.	Direct Ownership	Common Shares	38 - Redemption, retraction, cancellation, repurchase	70,815	\$14.22

M&A Option

Despite Natroba having a challenging 2Q26, CPH made a great acquisition, paying ~US\$90 mln for an asset that likely generated cashflow that covers approximately half of the purchase price in 2 years. CPH seems very disciplined and patient in finding the next deal but I suspect the market is currently attributing zero value to M&A upside currently.

Valuation

Starting with the downside first, I think CPH is worth ~\$12 per share by valuing Natroba at acquisition cost of C\$120 mln (which we just established was a great deal) and Epuris at \$190 mln (C\$16 mln revenue assuming no growth but high margin and royalty like cash flow stream).

I see conservative upside in the \$20 range assuming modest growth resumes for Natroba 2028+ in the LSD range and Epuris gaining an incremental 5-6% market share 5 years out. The blue sky scenario of \$30+ would be some sort of M&A upside, accretive capital allocation decisions and licensing Natroba products in other countries etc.

Disclaimers: Not investment advice, write-up subject to errors, do your own due diligence. No obligation to update changes in our holdings.

I do not hold a position with the issuer such as employment, directorship, or consultancy.
I and/or others I advise hold a material investment in the issuer's securities.

Catalyst

NCIB

SIB

Accretive acquisition

Epuris market share growth resumes

Natroba slows decline in sales

Messages

No messages